

National Accounts

- The first set of estimates of national income for the entire Indian Union was compiled by the 'National Income Committee', a High Powered Expert Committee set up by the Government of India under the Chairmanship of Prof. P.C. Mahalanobis in 1949.

- **Choice of 2011-12 as the Base Year**

-In the past, National Accounts Statistics were revised decennially changing the base to a year, which ends with 1. With the informal/unorganised sector playing a major role in the Indian economy, this was primarily because in the base year estimates of national accounts aggregates, the work force estimates especially that for the unorganised sector were obtained from the Population Census conducted decennially in the years ending with 1. This practice continued upto the series with base year 1980- 81.

-Since the 1993-94 series, the CSO started using the work force estimates from the results of Quinquennial Employment and Unemployment Surveys of National Sample Survey Organisation (NSSO), which are conducted once in every five years, and consequently started revising the base years of national accounts statistics once in every five years coinciding with the years for which the NSSO conducts the Quinquennial Employment and Unemployment Surveys (EUS). The National Statistical Commission has also recommended that all economic indices should be rebased at least once in every five years.

-the NSS 61st Round Quinquennial EUS conducted in the year 2004-05, on which the previous series of national accounts was based, was followed by a quinquennial EUS in 2009-10. However, the year was not considered a "normal" year since it succeeded the global slowdown of 2008. Therefore, a fresh EUS was conducted in 2011-12. The results of this survey have been used for the compilation of the estimates in the new series with base year 2011-12, released on 30th January, 2015.

- based on System of National Accounts (SNA), 2008 of the UN, WB, IMF, OECD, and EU

- FORMULAE

1. GVA at basic prices (Production Approach) = Output at basic price – Intermediate Consumption
2. GVA at basic prices (Income Approach) = CE + OS/MI + CFC + Production taxes less Production subsidies(i)
3. $GDP = \sum GVA \text{ at basic prices} + \text{Product taxes less Product subsidies(ii)}$
4. $NDP/NNI = GDP/GNI - CFC$
5. $GNI = GDP + \text{Net primary income from ROW (Receipts less payments)}$
6. Primary Incomes = CE + Property and Entrepreneurial Income
7. $NNDI = NNI + \text{other current transfers from ROW, net (Receipts less payments)}$
8. $GNDI = NNDI + CFC = GNI + \text{other current transfers from ROW, net (Receipts less payments)}$
9. Gross Capital Formation (Financing Side) = Gross Savings + Net Capital Inflow from ROW
10. GCF (Expenditure Side) = GFCF + CIS + Valuables
11. Gross Disposable Income of Govt. = GFCE + Gross Saving of General Government
12. Gross Disposable Income (GDI) of Households = $GNDI - GDI \text{ of Govt.} - \text{Gross Savings of All Corporations}$

REMARKS ON THE FORMULAE :

(i) Production taxes or subsidies are paid or received with relation to production and are independent of the volume of actual production. Some examples are: Production Taxes - Land Revenues, Stamps & Registration fees and Tax on profession Production Subsidies - Subsidies to Railways, Subsidies to village and small industries.

(ii) Product taxes or subsidies are paid or received on per unit of product. Some examples are: Product Taxes- Excise duties, Sales tax, Service Tax and Import, Export duties Product Subsidies- Food, Petroleum and fertilizer subsidies.

(iii) Other Current Transfers refers to current transfers other than the primary incomes.

(iv) Gross Capital Formation (GCF) at the current as well as the constant prices is estimated by two approaches: – (i) through flow of funds, derived as Gross Saving plus net capital flow from Rest of the World (RoW); and (ii) by the commodity flow approach, derived by the type of assets. The estimates of GCF through the flow of funds approach are treated as the firmer estimates. GCF by industry of use and by institutional sectors does not include 'valuables' and therefore, these estimates are lower than the estimates available from commodity flow approach.

- Calendar for Quarterly estimates of GDP:

(1) Q3 OF 2019-20 : 28th February 2020

(2) Q4 OF 2019-20 : 31st May 2020

(3) Q1 OF 2020-21 : 31st August 2020

(4) Q2 OF 2020-21 : 30th November 2020

Q1: April-June, Q2: July-September, Q3: October-December, Q4: January-March

- Calendar for Annual estimates of GDP

(1) FIRST ADVANCE ESTIMATES FOR 2019-20 : 07th January 2020

(2) FIRST REVISED ESTIMATES FOR 2018-19 : 31st January 2020

(3) SECOND ADVANCE ESTIMATES FOR 2019-20 : 28th February 2020

(4) PROVISIONAL ESTIMATES FOR 2019-20 : 29th May 2020

- The approach for compiling Quarterly and Advance Estimates of GDP is based on the Benchmark-Indicator Method.

- **Keywords:**

Gross- means total product, regardless of the use to which it is subsequently put

Net- means Gross minus the amount that must be used to offset depreciation

Domestic- means the boundary is geographical; we are counting all goods and services produced within the country's borders, regardless of by whom

National- means the boundary is defined by citizenship(i.e. nationality). We count all goods and services produced by the nationals of the country/ regardless of where that production physically takes place.

- **Basic Formulae:**

GDP= GNP - Net income earned from abroad

NDP = GDP - Depreciation

NNP = GNP - Depreciation (CFC)

Per capita Income = GDP/total pop. size

- **GDP approaches:**

Production: market value of all final goods and services calculated during 1 year

Income: sum total of income of individuals living in the country during 1 year

Expenditure: all expenditure incurred during 1 year

- **Methods of calculating GDP**

(I) Production Approach: PFCE,GFCE,GCF,GFCF,Valuables,CIS,Export,Import

(II) Expenditure Approach: CE(Compensation of Employees),NOS(net operating Surplus), Production Taxes less subsidies, CFC, GVA

(III) Income Approach: GDP

- **Final Use Vectors**

-Government Final Consumption Expenditure (GFCE): consists of compensation of employees, consumption of fixed capital and intermediate consumption (purchase of goods and services including repair and maintenance less sales), Classification of Function of Government (COFOG) such as Government expenditure on public administration and defence, education, health, community, social and other services.

-Private Final Consumption Expenditure (PFCE): -COMMODITY FLOW

APPROACH is employed

☐ **Supply Use Tables(SUT)**

-published by NAD

-offers a detailed analysis of the process of production and use of goods and services and the income generated in that production.

-provides the ideal concept for balancing supply and demand and it is the best framework for compiling Gross Domestic Product (GDP) at current prices

-After balancing, SUT provide coherent data linking output of industries as products and intermediate and final uses of various products.

-These tables show the structure of the costs of production and the income generated in the production process, the flow of goods and services produced within the national economy and the flows of goods and services with the rest of the world.

-reflects the production of industries in which intermediate products and primary inputs are required, showing where goods and services are produced and where they are used as intermediate consumption, final consumption, gross capital formation and exports.

-Supply table is at BASIC PRICES whereas Use table is at PURCHASERS' PRICE

☐ **Input-Output Transaction Tables(IOTT)**

-published by NAD

-first released in 1968-69: latest available 2007-08

-The input-output table gives the inter-industry transactions in value terms at factor cost presented in the form of commodity x industry matrix where the columns represent the industries and the rows as group of commodities, which are the principal products of the corresponding industries.

-All the entries in the IOT are at factor cost, i.e. excluding trade and transport charges and NIT. The IOT, to begin with, is prepared at original purchasers' prices, i.e. at the price at which actual transactions take place. The entries at factor cost are arrived thereafter by removing the components of trade and transport margins and net indirect taxes.

FAQs:

- ☐ What is GDP and how it is estimated?
- 1. GDP measures the gross value added from all institutional sectors in the economy namely General Government, Public Financial / Non-Financial Corporations, Private Financial / Non-Financial Corporations and Household sector
- 2. GDP can be estimated from production side as well as expenditure side
- 3. GDP is estimated from the production side by summing the value added of different kinds of activities.
- 4. Gross Value added (GVA) can be estimated
 - by production approach as Output – intermediate consumption (material inputs))
 - by Income approach as Compensation of employees + operating surplus + Depreciation
 - Operating surplus include undistributed Profit, rent, dividend and interest
- 5. GDP can be estimated using the production approach as GVA at Basic prices+ Net taxes on Products
- 6. Gross domestic product (GDP) is the market value of all final goods and services produced within the territorial borders of a country for a given period of time.
- 7. GDP can be estimated from expenditure side by estimating
 - Consumption expenditure of households and non-profit institutions serving households
 - Consumption expenditure of Government
 - Net acquisition of fixed assets or fixed capital formation
 - Stock accumulation
 - Net exports (Exports – Imports)
- 8. Real GDP reflects the value of all goods and services produced by an economy in a given year, expressed in base-year prices, and is referred to as "constant-price. Thus, real GDP is GDP measured at constant price. Nominal GDP is GDP measured at current year price

☐ What is the difference between GDP and GVA?

- The difference between GDP & GVA are product taxes less subsidies
- Gross value added at basic prices is defined as output valued at basic prices less intermediate consumption valued at purchasers' prices.
- Basic price is the natural price of the producer as taxes or subsidies on production cannot be eliminated from the output prices. Basic Prices are inclusive of production taxes (such as fees for setting up an enterprise, land revenue tax) less production subsidies (such as subsidies on seeds, fertilizers)
- From the point of view of the producer, purchasers' prices for inputs and basic prices for outputs represent the prices actually paid and received. Their use leads to a measure of gross value added which is particularly relevant for the producer

☐ What are the methodology and sources of calculating annual estimates?

Annual Estimates of GDP are compiled using the procedure laid down in System of National Accounts 2008. The System of National Accounts (SNA) is the internationally agreed standard set of recommendations of United Nations on how to compile measures of economic activity. In the case of first and second Advance estimates and provisional estimates of GDP, Gross Value Added (GVA) by production approach is compiled by adopting the benchmark-indicator approach. In this method, estimates of GVA each of the industry-groups are compiled by extrapolating value of output or value added at constant prices of the previous year with relevant volume/physical indicators. The data on indicators used are:

1. Index of Industrial Production of CSO
2. Financial performance of Listed companies in the private corporate sector from BSE/NSE
3. Estimates of crop production from the Ministry of Agriculture
4. Expenditure of Central & State Government
5. Growth rates of various indicators of service sector e.g. sales tax, deposits & credits, passenger and freight earnings of Railways, civil aviation, number of telephone connections, etc.

6. GDP estimates by expenditure aggregates are compiled using the benchmark-indicator approach. Different physical indicators along with rates and ratios used in the earlier years based on benchmark surveys of National Sample Survey (NSS) are used for compilation of expenditure aggregates.
7. When the provisional estimates are revised and released as First Revised estimates in January and also during every successive revisions, estimates of GDP are compiled on the basis of
 - ➤ analysis of Budgets of Central and State Governments
 - ➤ analysis of financial statements of public and private corporations
 - ➤ analysis of accounts of local bodies etc
8. GDP estimates by expenditure aggregates are compiled using various data sources. The estimates of government final consumption expenditure are compiled by analysing the budget documents of centre, state and local governments.
9. The estimates of private final consumption expenditure are generally derived through commodity flow approach. The estimates of gross fixed capital formation (GFCF) are compiled by commodity flow method
10. The estimates of change in stocks are prepared separately for the institutional sectors Public/Private, Financial and Non-financial corporations, General Government and Households using annual data available on public and private corporations and benchmark surveys conducted on households.
11. Data on exports and imports are available from the Customs records and also from the Balance of Payments Statistics.

☐ What is Base revision and why it is done?

To examine the performance of the economy in real terms, estimates are prepared at the prices of selected year known as base year. The estimates at the prevailing prices of the current year are termed as "at current prices", while those prepared at base year prices are termed as "at constant prices". The comparison of the estimates at constant prices, which means "in real terms", over the years gives the measure of real growth. The reason for changing the base year of the national accounts periodically is to take into account the structural changes which have been taking place in the economy and to depict a true picture of the economy.

Base year changed from 2004-05 to 2011-12 on January 30, 2015.